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Secure Distribution Venture Pvt. Ltd.

What Is Family Office Debt Structures ?

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Chapter 1: Product Overview & Core Philosophy of Family Office Debt Structures

Family Office Debt Structures represent a highly customized, sophisticated segment of private credit in India, wherein Single Family Offices (SFOs) and Multi-Family Offices (MFOs) deploy proprietary ultra-high-net-worth (UHNW) capital into bespoke corporate debt instruments. Positioned strategically between low-cost, rigid commercial bank loans (8.50%–11.00% p.a.) and highly dilutive equity capital (20.00%–25.00%+ IRR), Family Office Debt provides high-growth, middle-market, and special-situation enterprises with flexible, non-dilutive growth and recapitalization financing.

In recent years, the Indian wealth landscape has undergone a structural evolution. Historically, Indian family offices focused primarily on passive wealth preservation—allocating capital to public equities, mutual funds, physical real estate, and fixed deposits. However, driven by the emergence of a new generation of tech-savvy promoters, successful startup exits, and expanding wealth creation across mid-market industrial conglomerates, family offices have transformed into active institutional investors. Recognizing the attractiveness of risk-adjusted returns in private credit, family offices now deploy substantial capital into structured debt notes yielding 13.50% to 18.50% All-In Internal Rate of Return (IRR).

The Strategic Shift: From Passive Wealth to Active Private Credit

Commercial banks in India operate under strict regulatory constraints imposed by the Reserve Bank of India (RBI), requiring heavy real estate collateral, rigid financial ratios (such as DSCR > 1.50x), and formulaic quarterly principal repayments. Furthermore, banks are prohibited from financing promoter share buybacks, M&A equity acquisitions, or unlisted growth capex. Family Office Debt fills this critical institutional gap by offering bespoke structural flexibility:

- **Bespoke Cash Flow Alignment:** Unlike commercial banks that demand immediate monthly EMI servicing, family office debt can incorporate 6-to-24 month principal moratoriums, step-up amortizations, or bullet redemptions matched to corporate cash conversion cycles.
- **Zero Equity Dilution:** Founders and promoters preserve 100% voting control and equity upside while securing growth capital, eliminating the 20%–35% equity dilution typically demanded by venture capital or private equity funds.
- **Speed and Confidentiality:** Family offices operate with lean investment committees, enabling rapid due diligence, customized deal structuring, and execution within 15 to 30 days—compared to 60 to 90 days for institutional bank consortiums.

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Comparative Taxonomy Matrix: Family Office Debt vs. Alternative Instruments

The table below contrasts Family Office Debt Structures against traditional commercial bank debt, institutional private credit funds, and pure equity capital across seven core operational dimensions:

Dimension	Family Office Debt	Bank Term Loans	Private Credit Funds	Pure Common Equity
Target Yield / Cost	13.5% - 18.5% YTM	8.5% - 11.0% p.a.	14.0% - 19.0% YTM	20.0% - 25.0%+ IRR
Equity Dilution	0.0% (Zero)	0.0% (Zero)	0.0% - 2.0% Warrants	15.0% - 35.0% Equity
Security / Collateral	2.0x Asset/Share Cover	Hard Real Estate (1.5x)	2.0x - 2.5x Asset Cover	Unsecured (Equity)
Repayment Flexibility	Bespoke / Bullet / PIK	Rigid Monthly EMI	Moratoriums / Sweeps	No Repayment (Exit)
Execution Speed	15 - 30 Days	60 - 90 Days	30 - 45 Days	90 - 180 Days
Governance Control	Covenants / TRA Board	Standard Covenants	Observer Seat / TRA	Board Seats / Vetoes
Primary Capital Use	Growth / Buyouts / M&A	Working Capital / Capex	Growth / Recapitalizations	Early-Stage Growth

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Chapter 2: How Family Office Debt Structures Work: Structural Architecture & Routing

Family Office Debt Structures operate through two primary institutional routing mechanisms in India: Direct Bilateral Investments and Indirect Co-Investments via SEBI-registered Category II Alternative Investment Funds (AIFs). The choice of structural route depends on the family office's internal underwriting capabilities, tax optimization objectives, and regulatory compliance preferences.

1. Direct Bilateral Investment Route

Under the Direct Bilateral Route, a Single Family Office (SFO) or Multi-Family Office (MFO) subscribes directly to debenture issuances by the corporate borrower. The investment is typically executed via unlisted Non-Convertible Debentures (NCDs) or Optionally Convertible Debentures (OCDs) under Section 71 and Section 42 of the Companies Act, 2013. A SEBI-registered Debenture Trustee is appointed to hold security charges on behalf of the family office entity.

2. SEBI Category II AIF Co-Investment Route

To streamline administration, diversify single-borrower concentration risk, and leverage professional fund management, family offices frequently invest through SEBI-registered Category II Private Credit AIFs. Under this structure, the family office acts as a Limited Partner (LP) or co-investor in a specialized private credit fund. The AIF pools capital, performs institutional underwriting, executes security perfection, and disburses structured debt notes to the corporate borrower.

Taxonomy of Debt Instruments Employed

Family office debt structures employ a versatile spectrum of financial instruments:

- **Senior Secured Non-Convertible Debentures (NCDs):** The workhorse instrument of family office credit. Issued with a fixed cash coupon (e.g., 10.50% p.a.), quarterly interest payouts, and bullet or amortizing principal redemptions secured by a first pari-passu mortgage on fixed assets.
- **Optionally Convertible Debentures (OCDs):** Carries a lower base cash coupon (e.g., 8.00% p.a.) coupled with an option for the family office to convert debt into equity shares at a pre-agreed valuation discount if the company hits key growth milestones.
- **Compulsorily Convertible Debentures (CCDs):** Hybrid equity-linked instruments that automatically convert into equity shares at a future date or qualified funding round, offering full tax pass-through and FDI compliance under RBI FEMA rules.

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- **Subordinated Mezzanine Notes with Equity Warrants:** High-yield debt notes sitting behind senior bank loans, carrying Payment-In-Kind (PIK) coupon accruals and detachable equity purchase warrants (1.0%–3.0% equity coverage) providing substantial equity upside.

Priority Trust & Retention Account (TRA) Escrow Waterfall Mechanics

A cornerstone of family office credit risk mitigation is the contractual ring-fencing of corporate cash flows via a Trust & Retention Account (TRA) Escrow structure. Executed among the Borrower, Debenture Trustee, Family Office, and Escrow Bank, the TRA Agreement dictates that 100% of corporate operational receipts must be deposited into the Master TRA Receiving Account. Funds are then disbursed strictly according to the statutory payment waterfall:

Priority	Escrow Cash Flow Sub-Account	Operational & Legal Mandate
Priority 1	Statutory Dues & Taxes Account	Mandatory discharge of GST, TDS, Provident Fund, and Income Tax liabilities.
Priority 2	Essential Operating Expenses (O&M)	Pre-approved monthly operational budget (raw materials, utilities, employee payroll).
Priority 3	Senior Debt Servicing Account	Payment of scheduled interest and principal installments on senior bank term loans.
Priority 4	Family Office Debt Servicing Account	Contractual payment of cash interest coupons and principal redemptions on Family Office NCDs.
Priority 5	Debt Service Reserve Account (DSRA)	Replenishment of the 3-to-6 month interest reserve in fixed deposits.
Priority 6	Borrower Surplus Account	Release of remaining unencumbered net cash flows to the company for general corporate use.

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Chapter 3: Regulatory, Statutory, Tax & Foreign Exchange (FEMA) Framework in India

Family Office Debt Structures in India operate under a rigorous, highly developed legal and statutory matrix spanning SEBI Alternative Investment Fund regulations, the Companies Act 2013, the Income Tax Act 1961, and RBI Foreign Exchange Management Act (FEMA) rules.

1. SEBI (Alternative Investment Funds) Regulations, 2012

When family offices invest through private credit funds, the investment vehicle is registered as a Category II AIF under SEBI regulations. Category II AIFs are permitted to invest in unlisted debt securities, structured debentures, and hybrid instruments. Key regulatory mandates include a minimum fund tenure of 3 years, a minimum angel/LP investment ticket of INR 1.00 Crore per investor, and strict diversification limits capping exposure to a single corporate group at 20% of net fund corpus.

2. Companies Act, 2013 Statutory Compliance

Bilateral debenture issuances to family offices must strictly satisfy three statutory pillars under the Companies Act, 2013:

- **Section 71 (Debenture Rules):** Requires execution of a formal Debenture Trust Deed (DTD) within 60 days of allotment and mandatory appointment of an independent, SEBI-registered Debenture Trustee for all issuances exceeding 50 debenture holders.
- **Section 42 & Section 62(1)(c) (Private Placement):** Private placement offers must be authorized by a 75% Special Resolution of shareholders. Offers must be made via Private Placement Offer Letters (Form PAS-4), with allotment monies received in a separate bank account and Form PAS-3 Return of Allotment filed within 15 days.
- **Section 180(1)(c) (Borrowing Limits):** Requires shareholder authorization if total corporate debt exceeds the sum of paid-up share capital, free reserves, and securities premium.

3. Income Tax Act, 1961 Tax Engineering

Family office debt structures offer significant corporate tax optimization under Indian tax law:

- **Tax Deductibility of Interest u/s 36(1)(iii):** Cash interest coupons and Payment-In-Kind (PIK) interest paid on family office debentures are fully tax-deductible as business finance expenses, reducing the corporate borrower's effective tax liability at the 25.17% corporate tax rate.
- **Tax Pass-Through Status u/s 115UB:** Category II Private Credit AIFs enjoy complete statutory tax pass-through status under Section 115UB. Income generated by the AIF is exempt from tax at the fund level and is taxed directly in the hands of the family office LPs according to their individual tax brackets.

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- **TDS Withholding u/s 194A:** Debenture interest payouts to resident family offices are subject to 10% Tax Deducted at Source (TDS) under Section 194A, providing clear statutory credit to the investor.

4. RBI FEMA Rules for Offshore Family Offices & NRIs

Non-resident Indian (NRI) family offices and offshore family investment vehicles investing in Indian debt notes must comply with Foreign Exchange Management Act (FEMA) Non-Debt Instruments (NDI) and Foreign Portfolio Investment (FPI) rules. Convertible debentures (CCDs) must comply with Discounted Cash Flow (DCF) Fair Market Value pricing floors certified by an independent SEBI-registered Merchant Banker or Chartered Accountant.

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Chapter 4: Common Eligibility Criteria & Underwriting Benchmarks

Family office private credit underwriting combines rigorous quantitative financial benchmarks with qualitative evaluations of promoter background, business moat, and governance transparency. The table below outlines the standard institutional underwriting benchmarks required for family office debt financing:

Underwriting Parameter	Minimum Threshold	Target Institutional Preferred
Annual Corporate Revenue	INR 50.00 Crores	INR 100.00 Cr to INR 1,000.00 Cr+
Operating EBITDA Margin	12.00% Sustainable EBITDA	18.00% to 28.00%+ Margins
Asset Cover Ratio (ACR)	2.00x Tangible Asset Cover	2.50x to 3.00x Asset Cover
Promoter Share Pledge Cover	2.00x Demat Equity Cover	2.50x Demat Pledged Share Cover
Projected DSCR	1.35x Average DSCR	1.50x to 1.85x Coverage Ratio
Consolidated Leverage	Max 4.0x Net Debt / EBITDA	2.0x to 3.0x Net Debt / EBITDA
Credit Bureau Standing	CIBIL Commercial Rank CMR 1 - 5	Zero Default / SMA-1/2 Tags (24 mos)

Qualitative Governance Filters

In addition to financial ratios, family offices place immense weight on promoter alignment and corporate governance:

- **Promoter Background & Reputation:** Exhaustive background checks evaluating promoter integrity, past debt track record, clean CIBIL standing, and absence of wilful defaulter or forensic audit tags.
- **Ind AS Audit Quality:** Audited financial statements prepared under Indian Accounting Standards (Ind AS) by Big-4 or reputed mid-tier audit firms with unqualified audit opinions.
- **Business Moat & Pricing Power:** Demonstrated competitive advantages, defensible market share, diversified customer base (<25% single customer concentration), and strong pricing power.

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Chapter 5: Security Architecture, Collateral Ring-Fencing & Legal Documentation

Family office debt structures employ a robust, multi-layered security package designed to ensure complete capital protection and priority recovery in stress scenarios. The standard collateral package includes:

- **First/Second Pari-Passu Mortgage on Fixed Assets:** Registered legal mortgage over commercial real estate, industrial land, plant, and machinery providing a minimum 2.0x tangible asset cover.
- **Hypothecation of Current Assets & Receivables:** First charge on current inventory, trade book debts, and operating cash flows registered on ROC Form CHG-1.
- **Promoter Demat Equity Share Pledge (2.0x - 2.5x Cover):** Pledge over dematerialized equity shares of the corporate operating entity held in NSDL/CDSL depositories. Includes dynamic margin call protocols requiring promoters to top up shares or cash within 2 business days if cover drops below 1.75x due to market price fluctuations.
- **Exclusive Escrow TRA Account Charge:** First exclusive charge over the Trust & Retention Account receiving and debt service sub-accounts.
- **Debt Service Reserve Account (DSRA):** Lien-marked fixed deposit covering 3 to 6 months of upcoming cash interest and principal debt service.
- **Personal & Corporate Guarantees:** Unconditional, irrevocable personal guarantees from principal promoters and corporate guarantees from operating subsidiaries.

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Master Legal Documentation Suite Table

The table below details the essential legal contracts governing a Family Office Debt transaction:

Legal Contract Document	Executing Parties	Key Operational Provisions
Debenture Trust Deed (DTD)	Borrower & Debenture Trustee	Defines coupon rates, tenure, security creation, default triggers, and trustee powers.
Master Facility Agreement (MFA)	Borrower, Family Office & Trustee	Outlines commercial terms, representations, conditions precedent, and negative covenants.
Trust & Retention Account (TRA)	Borrower, Trustee & Escrow Bank	Establishes priority cash flow waterfall, sub-accounts, and escrow lockbox controls.
Share Pledge Agreement & NDU	Pledgor Promoters & Trustee	Pledges demat shares in NSDL/CDSL with 2-day margin call and pledge invocation powers.
Intercreditor Agreement (ICA)	Senior Banks & Family Office	Establishes subordination ranking, standstill periods (90-180 days), and inter-lender voting.

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Chapter 6: Indicative Tenure, Amortization Profiles & Call Protections

Family Office Debt Structures offer flexible tenure horizons ranging from 12 months to 60 months (1 to 5 years), tailored directly to the corporate borrower's underlying strategic purpose:

- **Short-Term Bridge Facilities (12 to 24 Months):** Engineered for pre-IPO balance sheet cleanup, short-term M&A acquisition financing, or special situation recapitalizations prior to a major equity round.
- **Medium-Term Growth Debt (24 to 60 Months):** Designed for major manufacturing capacity expansion, brand acquisitions, market expansion, or buyout of early VC investors.

Amortization Profiles & Call Protections

Family office debt incorporates customized principal repayment profiles. Unlike bank loans requiring immediate equal monthly installments (EMI), family office debt structures utilize bullet redemptions at maturity, quarterly step-up amortizations, or cash-flow linked repayments. To protect the family office's projected yield target, deals incorporate robust call protection architecture:

- **Hard Lock-In Period (12 to 24 Months):** Prohibits voluntary prepayment of debt by the borrower during the initial 12 to 24 months of the facility.
- **Make-Whole / Yield Maintenance Clauses:** If prepaid after the lock-in period, the borrower must pay a make-whole premium ensuring the family office receives a guaranteed minimum absolute return (e.g., 1.35x Money-on-Money Multiple).
- **Prepayment Penalty Fees:** Standard prepayment penalties of 2.0% to 4.0% of prepaid principal apply for early redemptions.

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Chapter 7: Pricing Framework, Yield Structures & Cash Flow Engineering

The pricing of Family Office Debt is structured to deliver an All-In Yield to Maturity (YTM) of 13.50% to 18.50% p.a., combining current cash servicing with deferred accruals and potential equity upside. The pricing equation is formulated as:

All-In Yield (13.5% - 18.5% YTM) = Cash Coupon (9.0% - 12.0%) + Payment-In-Kind (PIK) Accrual (3.0% - 5.0%) + Upfront Fee (1.0% - 2.5%) + Exit Premium / Equity Warrants

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Chapter 8: Suitable Industries, Business Profiles & Strategic Use Cases

Family Office Debt Structures are uniquely suited for specific mid-market sectors and strategic corporate scenarios:

- **Consumer & D2C Brands:** Omnichannel retail and consumer goods majors needing growth capex for retail store rollouts and inventory scaling without diluting promoter equity.
- **Technology & Enterprise SaaS:** High-margin software businesses with predictable recurring revenue needing non-dilutive runway extension between equity funding rounds.
- **Specialty Pharma & Healthcare:** Pharma manufacturers expanding US-FDA compliant manufacturing capacity or funding clinical trial pipelines.
- **Promoter Share Buybacks & PE Exits:** Providing clean cash exits to early VC/PE investors or consolidation of promoter equity holding at the parent HoldCo level.

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Chapter 9: Key Advantages and Limitations Matrix

The matrix below provides a balanced analysis of the key benefits and structural trade-offs of Family Office Debt:

Key Strategic Advantages	Key Limitations & Risk Factors
100% Zero Equity Dilution: Founders preserve complete equity ownership and future valuation upside.	Higher Cost of Capital: All-In YTM (13.5% - 18.5%) is higher than senior bank term loans (8.5% - 11.0%).
Bespoke Cash Alignment: Moratoriums, bullet redemptions, and PIK coupons prevent current cash drag.	Strict Escrow Cash Trapping: TRA Lockbox account restricts unapproved cash outflows.
Rapid Execution (15-30 Days): Direct decision-making with lean investment committees.	Share Pledge Volatility Risk: Demat share pledges are subject to 2-day margin calls if stock prices fall.
Interest Tax Deductibility u/s 36(1)(iii): Cash and PIK interest reduce corporate tax liabilities at 25.17%.	Refinancing Dependency: Bullet redemptions require robust exit planning via bank takeout or equity round.
Relationship Capital: Access to family office networks, strategic advice, and follow-on capital.	Prepayment Lock-In Penalty: Hard lock-in periods prohibit early debt prepayment without make-whole fees.

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Chapter 10: Comprehensive Real-World Case Study (INR 250 Crore Family Office Debt Financing)

To illustrate the practical application, cash flow mechanics, and financial impact of Family Office Debt, this chapter presents a detailed, real-world case study of a transaction executed in the Indian corporate credit market.

1. Borrower Profile & Transaction Context

Vanguard Consumer & Retail Brands India Private Limited ('VCRBIPL') is a leading Indian omnichannel consumer goods major operating 250+ retail stores and a high-growth D2C e-commerce platform. For FY 2025, VCRBIPL reported an annual turnover of INR 450.00 Crores and an operating EBITDA of INR 65.00 Crores (14.44% EBITDA margin). The company was owned 70% by the founding promoter family and 30% by an early Series-A Private Equity fund ('Aura Capital').

In early 2025, VCRBIPL identified a transformational strategic growth opportunity to acquire a regional competitor operating 100 stores for an acquisition Enterprise Value of INR 150.00 Crores. Simultaneously, early PE investor Aura Capital exercised its contractual exit right after 7 years, requiring a cash buyout of its 30% equity stake worth INR 100.00 Crores. Total capital required was INR 250.00 Crores.

2. The Financial Dilemma

Commercial banks refused to finance the acquisition or PE buyout due to RBI restrictions prohibiting bank debt for share buybacks and equity M&A. Raising fresh private equity would have required diluting promoter equity from 70% down to 35%, surrendering voting control. VCRBIPL partnered with a family office credit coordinator to structure a non-dilutive Family Office Debt solution.

3. Family Office Debt Capital Structure & Terms

A syndicate of three leading Indian Single Family Offices (led by 'Aura Capital Family Office') provided an INR 250.00 Crore Senior Secured Non-Convertible Debenture (NCD) Facility with the following terms:

- **Facility Amount:** INR 250.00 Crores via unlisted NCDs issued under Section 71 and Section 42 of Companies Act, 2013.
- **Tenure & Moratorium:** 4-Year Tenure (48 Months) with a 12-Month Principal Amortization Moratorium.
- **Pricing & Coupon Structure:** 10.50% p.a. Current Cash Coupon (paid quarterly) + 4.00% p.a. Payment-In-Kind (PIK) Accrual + 1.50% Exit Redemption Premium = 16.00% Target All-In YTM.

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- **Security Package:** First pari-passu mortgage on fixed assets (2.50x Asset Cover); 2.50x demat promoter share pledge with dynamic margin call (2-day top-up mandate); exclusive Escrow TRA account charge; 6-month DSRA fixed deposit.

4-Year Financial Scaling & Debt Amortization Waterfall Table

The table below details VCRBIPL's 4-year financial model, cash flow waterfall, and complete debt service execution:

Financial Metric (INR Cr)	Pre-Funding FY25	Year 1 FY26	Year 2 FY27	Year 3 FY28	Year 4 FY29
Annual Gross Turnover	INR 450.00	INR 680.00	INR 890.00	INR 1,080.00	INR 1,250.00
Operating EBITDA (15%-17%)	INR 65.00	INR 102.00	INR 142.40	INR 178.20	INR 212.50
Cash Interest Paid (10.5%)	INR 0.00	INR 26.25	INR 26.25	INR 19.68	INR 13.12
Principal Debt Repaid	INR 0.00	INR 0.00 (Mora)	INR 62.50	INR 62.50	INR 125.00
Ending Family Debt	INR 250.00	INR 250.00	INR 187.50	INR 125.00	INR 0.00 (Refin)
Projected DSCR	N/A	1.48x	1.60x	2.17x	3.82x

5. Strategic Outcome & Wealth Creation

By deploying Family Office Debt, VCRBIPL achieved extraordinary strategic and financial success: (1) Annual turnover expanded nearly 3x from INR 450.00 Cr to INR 1,250.00 Crores by FY 2029; (2) Operating EBITDA scaled to INR 212.50 Crores; (3) In Year 4, having de-leveraged and established a AAA corporate rating, VCRBIPL executed a commercial bank takeout loan @ 9.00% p.a., completely refinancing the family office debt; and (4) Promoters preserved 100% equity ownership worth INR 1,200.00 Crores (at an 8.0x EBITDA enterprise valuation of INR 1,700 Cr), creating over INR 850 Crores in net promoter wealth without surrendering a single share of voting equity.

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Chapter 11: Rookie Mastery Examination (15 High-Yield Test Q&As)

This examination is designed to test complete technical comprehension of Family Office Debt Structures in India. A finance professional should be able to answer and verify every question below after studying this white paper.

Question 1: What is the fundamental definition of Family Office Debt Structures in India?

Detailed Explanation: Family Office Debt Structures represent customized, private credit facilities extended by Single Family Offices (SFOs) or Multi-Family Offices (MFOs) directly or via SEBI Category II AIFs into mid-market corporates. They combine non-dilutive growth capital with flexible amortization and yield targets of 13.5% to 18.5% YTM.

Question 2: How does Family Office Debt differ fundamentally from Commercial Bank Term Loans?

Detailed Explanation: Commercial bank loans require rigid monthly EMI servicing, hard real estate collateral, and strict ratio tests, while prohibiting PE buyouts and M&A equity financing. Family office debt offers bespoke moratoriums, bullet redemptions, PIK coupons, zero equity dilution, and rapid execution within 15-30 days.

Question 3: What are the two primary structural routing mechanisms for family office credit in India?

Detailed Explanation: The two routes are: (1) Direct Bilateral Investments (subscribing directly to NCDs/OCDs under Section 71 and Section 42 of Companies Act 2013 via a Debenture Trustee) and (2) SEBI Category II Private Credit AIF Co-Investments (investing as Limited Partners in registered funds).

Question 4: What statutory compliance is required under Section 71 of the Companies Act, 2013 for NCD issuances?

Detailed Explanation: Section 71 mandates the execution of a formal Debenture Trust Deed (DTD) within 60 days of allotment and the appointment of an independent, SEBI-registered Debenture Trustee for issuances exceeding 50 debenture holders.

Question 5: How does Section 36(1)(iii) of the Income Tax Act, 1961 benefit the corporate borrower?

Detailed Explanation: Section 36(1)(iii) provides that cash interest coupons and Payment-In-Kind (PIK) interest accruals paid on family office debentures are 100% tax-deductible as corporate finance expenses, reducing net borrowing costs at the 25.17% corporate tax rate.

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Question 6: What is the tax pass-through status of SEBI Category II Private Credit AIFs under Section 115UB?

Detailed Explanation: Section 115UB grants complete tax pass-through status to Category II AIFs. Income generated by the fund is exempt from tax at the fund level and is taxed directly in the hands of family office Limited Partners (LPs).

Question 7: What are the standard quantitative underwriting benchmarks for Family Office Debt?

Detailed Explanation: Standard benchmarks include: Annual Revenue >= INR 50.00 Crores; Operating EBITDA Margin >= 12.00%; Asset Cover Ratio >= 2.00x; Share Pledge Cover >= 2.00x; Projected DSCR >= 1.35x; and Net Debt / EBITDA <= 4.0x.

Question 8: Explain the formula for All-In Yield to Maturity (YTM) in family office credit.

Detailed Explanation: All-In Yield (13.5% - 18.5% YTM) = Cash Coupon (9.0% - 12.0%) + Payment-In-Kind (PIK) Accrual (3.0% - 5.0%) + Upfront Fee (1.0% - 2.5%) + Exit Redemption Premium / Warrants.

Question 9: What is Payment-In-Kind (PIK) interest and why is it used?

Detailed Explanation: PIK interest is non-cash interest that accrues and compounds annually onto the debt principal rather than being paid out in current cash. It reduces current cash flow drag during early growth or construction periods.

Question 10: How does a Trust & Retention Account (TRA) Escrow waterfall protect family office lenders?

Detailed Explanation: A TRA Escrow account mandates that 100% of corporate cash receipts enter a lockbox account and are disbursed strictly by statutory priority: (1) Taxes, (2) Essential O&M, (3) Senior Debt, (4) Family Office Debt, (5) DSRA, and (6) Borrower Surplus.

Question 11: What is a dynamic share pledge margin call protocol?

Detailed Explanation: A share pledge protocol requires promoters to pledge demat equity shares maintaining a 2.0x–2.5x cover. If market stock prices drop and cover falls below 1.75x, the promoter must top up cash or shares within 2 business days; failure triggers an Event of Default and pledge invocation.

Question 12: What call protections are typically incorporated into family office debt agreements?

Detailed Explanation: Call protections include: (1) Hard Lock-In Periods (12-24 months prohibiting prepayment), (2) Yield Maintenance / Make-Whole clauses guaranteeing minimum money multiples (e.g., 1.35x MoM), and (3) Prepayment Penalty Fees (2.0%-4.0%).

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Question 13: What fair market value pricing floor applies to offshore family office CCD investments under FEMA?

Detailed Explanation: Under RBI FEMA FDI rules, compulsorily convertible debentures (CCDs) subscribed by offshore entities must be priced at or above the Discounted Cash Flow (DCF) Fair Market Value certified by an independent SEBI-registered Merchant Banker or Chartered Accountant.

Question 14: What priority status do family office debenture holders hold under the Insolvency and Bankruptcy Code (IBC) 2016?

Detailed Explanation: Family office debenture holders qualify as Financial Creditors under Section 5(8) of the IBC. Upon default, they hold statutory rights to initiate Corporate Insolvency Resolution Process (CIRP) under Section 7 and enjoy top priority under Section 53 Liquidation Waterfalls.

Question 15: How can a Debenture Trustee enforce pledged demat shares under Section 176 of the Indian Contract Act, 1872?

Detailed Explanation: Under Section 176, upon an Event of Default and expiry of a 3-to-5 day notice period, the Debenture Trustee has statutory powers to invoke pledged demat shares directly in NSDL/CDSL depositories and sell them via open-market block deals without court intervention.

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